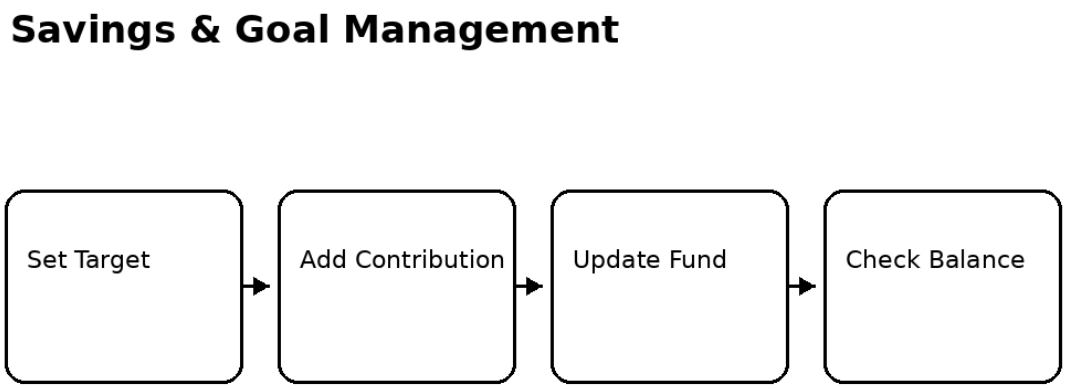
7.3 Emergency Fund Planning

1. Introduction

Emergency Fund Planning helps users prepare for unexpected expenses that may disturb a normal monthly budget. Examples include urgent repairs, unexpected purchases, or other unplanned costs. The module allows a user to define an emergency fund target, record contributions, monitor the current balance and calculate the remaining target. Keeping this money separate from regular spending creates a financial buffer.



2. Objectives

• Set an emergency fund target.

• Record current emergency savings.

• Plan regular contributions.

• Calculate the remaining amount needed.

• Maintain emergency savings separately from normal expenses.

• Review the fund regularly.

3. Detailed Working Process

• The user defines an emergency fund target.

• The current balance is entered.

• A monthly contribution is planned.

• Each contribution is added to the emergency balance.

• The system calculates the remaining amount.

• The user reviews the balance and target regularly.

4. Key Features

• Emergency fund target

• Current balance

• Monthly contribution

• Remaining target

• Contribution history

• Fund completion status

5. Advantages

• Provides a financial buffer for unexpected costs

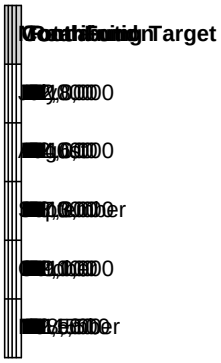
• Encourages preparation for unplanned expenses

• Separates emergency savings from daily spending

• Makes the emergency target measurable

• Supports long-term financial planning

6. Sample Data Table



7. Sample Python Coding

```
# Emergency Fund Planning
target = float(input("Enter emergency fund target: "))
saved = float(input("Enter current emergency savings: "))
monthly = float(input("Enter monthly contribution: "))

new_balance = saved + monthly
remaining = max(target - new_balance, 0)

print("\n--- EMERGENCY FUND STATUS ---")
print("Target: ■", target)
print("Current Balance: ■", new_balance)
print("Monthly Contribution: ■", monthly)
print("Remaining Target: ■", remaining)

if new_balance >= target:
print("Emergency fund target completed!")
else:
print("Continue regular contributions.")
```

8. Example

Example: Suppose the emergency fund target is ■20,000. The user has ■7,000 and adds ■2,000 during the current month. The updated balance becomes ■9,000 and the remaining target is ■11,000. Future contributions can continue until the target is reached.

9. System Integration

This module can be connected with the expense tracking, budgeting, notification and reporting modules. Goal information can be stored in a database and displayed through a dashboard. The same data can also be used to create monthly summaries and progress charts.

10. Conclusion

Conclusion: Emergency Fund Planning helps users prepare for unexpected financial requirements. It creates a separate savings target and provides a simple method to monitor contributions, balance and remaining requirements.